Erudite Connect

REGULATIONS AND RESEARCH DIGEST · ETHIOPIA

Investment incentives

Plain-English summaries of the official documents that shape investing in Ethiopia, with what each one means for investors and businesses.

PUBLIC EDITION

Erudite Connect · Powering Smarter Business Decisions
Erudite Africa Investments PLC · Addis Ababa

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— Overview

Tax and customs incentives for investors in Ethiopia: income tax relief, duty-free capital goods, loss carry-forward, and special treatment for zones and exporters. In 2026 Ethiopia moved from automatic tax holidays to reduced tax rates tied to investor performance, so investors should check which regime applies to their project.

01 Documents in this digest (10)

Incentives · Published (research)

Second Sustainable and Inclusive Growth Development Policy Financing: Release of the Second Tranche (Full Compliance)

Credit No. IDA-78750 / Grant No. IDA-E4850 · World Bank · 2026

This World Bank document confirms that Ethiopia met the reform conditions for the second tranche. One condition was investment incentive reform. The revised Income Tax Proclamation repeals the tax holidays and incentives granted under earlier instruments, and a new Investment Incentive Regulation replaces all discretionary incentives with a performance-based regime. Under that regime, economic zone developers pay a 5% income tax rate and other eligible investors pay 15%. The document also notes the liberalization of foreign participation in trade sectors.

Why it matters: It is an official external confirmation that the old tax holidays have been replaced by reduced rates tied to performance. New investors should budget on that basis.

Incentives · Draft

Council of Ministers Regulation on Investment Incentives (Revised Investment Incentives Regulation, first draft, version 4)

Ministry of Finance (draft for the Council of Ministers) · 2025-10

This is the Ministry of Finance consultation draft of the new performance-based regime. It proposes a 5% income tax rate for SEZ developers (10 years in Addis Ababa and Sheger City, 15 years elsewhere) and for startups. SEZ enterprises would pay 15% in Addis Ababa and Sheger City and 10% elsewhere. It also proposes 15% rates for carbon-market and renewable-energy users, reduced rates for exporters, capital allowances and deductions for research spending. Customs duty and tax exemptions would continue for capital goods, construction materials and vehicles, and investors would have to sign performance agreements with the investment authority.

Why it matters: It shows how the new regime was designed. Investors should rely on the enacted Council of Ministers regulation, which differs from this draft in places.

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Incentives | In force for incentives under Regulation No. 517/2022 (check against the 2026 incentive regulation)

Directive for the Implementation of Investment Incentives

Directive No. 1064/2025 (1064/2017 E.C.) · Ministry of Finance · 2025-05

Sets procedures for income tax holidays and customs duty exemptions under Investment Incentives Regulation No. 517/2022. Tax holidays require an investment license, a business license and a completion letter from the investment authority, and they can be revoked with repayment for fraud or failure to file. Losses incurred during a holiday can be carried forward over half the incentive period. Annex 1 sets SEZ holiday lengths by location (for example, 10 or 15 years for developers). Duty-free construction materials are released in stages, duty-free capital goods are limited to an annexed list, and investors must buy domestic equivalents where they are available.

Why it matters: This is the practical rulebook for claiming and keeping tax and customs exemptions. Investors licensed under the 2022 regime should keep to its documentation and export-share tests: 80% exports for industrial park enterprises and 60% for others.

Incentives | Published (research)

Ethiopia First Sustainable and Inclusive Growth Development Policy Operation: Program Document

Report No. PGD481 · World Bank · July 12, 2024

This program document supports Ethiopia's 2024 reforms, including rationalizing corporate income tax holidays. It cites an estimate that extensive holidays cost about 0.6% of GDP in revenue (IMF 2020). It sets out a roadmap to phase holidays out and introduce advance corporate income tax payments. It also covers opening banking, wholesale and retail trade to foreign investment and creating the capital markets authority.

Why it matters: It explains why the tax-holiday regime was scaled back and signals that future incentives will be narrower and conditional.

Tax expenditure | Published (research)

Import Tax Expenditure Report: FY 2018/19 - 2020/21

Ministry of Finance, Tax Policy Directorate · 2022-09

Measures the revenue forgone through import duty and tax exemptions. In FY 2020/21 the total was ETB 120.7 billion, about 2.8% of GDP. Exemptions on capital and investment goods cost about ETB 2.8 billion, about 2.3% of the total, and rose because higher excise rates on vehicles made the exemption more valuable. The report says it is still unclear whether costly exemptions achieve their goals and calls for regular monitoring.

Why it matters: It explains the fiscal pressure behind tighter customs incentives, especially for vehicles, which investors should expect to face closer scrutiny.

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Tax expenditure · Published (research)

Tax Expenditure Report for 2018/19 FY

Ministry of Finance · 2020-04

Estimates border-tax expenditure at ETB 73.9 billion, or 2.74% of GDP, in 2018/19, with capital goods for private investors the largest category of duty exemptions at about 31%. Including VAT and income tax holiday estimates from earlier studies, total tax expenditure is put at about 4.4% to 5.0% of GDP. The report recommends that tax-holiday beneficiaries file periodic returns.

Why it matters: It sets out the baseline cost of the old incentive regime and the reason holiday beneficiaries must still file returns.

Industrial parks · Published (research)

On the Path to Industrialization: A Review of Industrial Parks in Ethiopia

World Bank · 2022

Reviews Ethiopia's incentive-backed industrial parks. They created about 90,000 direct jobs, attracted about USD 740 million from 66 investors in public parks, and produced about 40% of manufacturing exports in 2019/20, but only about 0.2% of GDP. Local sourcing is under 5% of inputs, and the AGOA suspension put at least 56,000 jobs at risk. The report recommends filling existing parks, deepening local value chains and clarifying institutional roles.

Why it matters: It gives investors weighing park or SEZ locations an evidence base on occupancy, infrastructure gaps, labor and export markets.

Tax · Published (guidance; describes the pre-2022 incentive rules)

Tax Compliance Guide for Foreign Investors: Ethiopia

International Trade Centre with the Ethiopian Investment Commission (published by the Ministry of Finance) · 2020

A practical guide to federal taxes and compliance for foreign investors. It describes the incentives of the time: income tax exemptions by sector and location, extra years for exporters and industrial zones, a 30% deduction for three years in less-developed regions, and loss carry-forward for half the exemption period, capped at five years. It also covers duty-free capital goods and spare parts up to 15% of their value, and export duty schemes such as vouchers, drawback and bonded factories. It notes that exempt taxpayers must still file annual returns.

Why it matters: Its sections on registration, filing and audit are still useful. Its incentive figures should be checked against the 2022 and 2026 regulations.

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Industrial parks | Published (2017 guidance; check against current law)

Industrial Parks in Ethiopia: Incentives Package

EIC Ref. No. 02/2017 · Ethiopian Investment Commission · 2017-04

Sets out the 2017 incentive package for industrial parks. Developers received a 10-year income tax exemption in or around Addis Ababa and 15 years elsewhere, plus 60 to 80-year land sub-leases. Enterprises received up to 10 years of exemption, including extra years for 80% exporters, duty-free capital goods, construction materials and export raw materials, and a five-year personal income tax exemption for expatriates. Losses could be carried forward for half the exemption period, up to five years.

Why it matters: It is useful background for firms already in parks under the earlier regime. New investors should rely on the current SEZ and incentive rules.

Incentives | Published (official web page; undated)

Why Ethiopia: Attractive Incentives

Ethiopian Investment Commission

The EIC's public summary of incentives. It lists income tax holidays of up to 15 years for industrial park developers and up to 10 years for park enterprises, and import duty and tax exemptions on machinery, construction materials, spare parts, raw materials and vehicles. It also lists loss carry-forward, duty-free privileges for exporters and bonded-factory schemes. Non-fiscal incentives include guarantees against expropriation, remittance of funds, expedited visas and work permits, and a one-stop shop.

Why it matters: It is the EIC's investor-facing overview and a good starting point. Some figures may predate the 2026 performance-based regulation.

References for members. Every figure and statement in this digest is drawn from documents published by international institutions and the Government of Ethiopia. Direct links to every original document are is included in the member edition, available free to registered Erudite Connect members on the platform.

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